BUSINESS STRATEGY AND TECHNOLOGY
Suggested Answers
May 2026

Answer to the Question# 1

(a) Factors to Consider in Tender Pricing (6 Marks)

The tender price should reflect both **cost and strategic considerations**, not simply the minimum cost.

Key factors

- **Relevant cost:** The price should cover at least variable costs. With **30% idle capacity**, KPCL may accept a lower contribution if strategically beneficial.
- **Importance of the contract:** Morning Star contributes **40% of revenue**. Losing the contract would increase idle capacity and reduce profitability.
- **Competition:** Excess industry capacity and declining demand mean competitors are likely to bid aggressively.
- **Customer relationship:** KPCL's reliability, quality and prompt delivery may justify a slightly higher bid since price is not the only award criterion.
- **Long-term strategy:** The bid should preserve profitability while allowing time to implement diversification plans.
- **Risk:** The contract is renewed annually, so KPCL should avoid bidding below sustainable levels.

Conclusion: KPCL should submit a **competitive but profitable** tender that balances short-term survival with long-term shareholder value.

(b) SWOT Analysis (6 Marks)

Strengths	**Weaknesses**
Strong relationship with Morning Star	Dependence on one customer (40% revenue)
Flexible production and quick delivery	Old machinery and higher production costs
Reliable pulp supply and strong liquidity	Small scale and limited diversification
Opportunities	**Threats**
Diversification into pharmaceutical paper	Declining newspaper industry
Acquire Pharmopaper or PPL	Loss of Morning Star contract
Modernise production	Intense price competition and excess capacity

Overall: KPCL has operational strengths but faces serious threats from a declining market and heavy dependence on one customer. Strategic change is required.

(c) Evaluation of Diversification (8 Marks)

Suitability of Diversification

Advantages

- Reduces dependence on Morning Star.
- Responds to the long-term decline in newspaper demand.
- Utilises 30% surplus capacity more effectively.
- Enters growing, higher-value markets such as pharmaceutical paper.
- Spreads business risk.

Disadvantages

- Limited experience outside newsprint.
- Acquisition and integration risks.
- Financial resources are sufficient for only one major investment.

Overall Evaluation

Diversification is strategically appropriate because the newsprint market is in structural decline. It will reduce customer concentration risk and provide future growth opportunities, provided KPCL carefully selects and integrates any acquisition.

Answer to Question 2

This question is based on the **ICAB Code of Ethics (IESBA Code)**. The examiner expects candidates to:

1. Identify the ethical threat.
2. Explain why it threatens independence.
3. Recommend appropriate safeguards.

The five ethical threats are:

- Self-interest
- Self-review
- Advocacy
- Familiarity
- Intimidation

In this case, familiarity and self-interest are the most relevant.

(a) Ethical threats affecting independence (5 Marks)

(i) Russel Ltd.

Threat: Self-interest threat (Gift and Hospitality)

The consulting team has been invited to a luxury weekend Christmas celebration at an expensive hotel.

Accepting significant hospitality may:

- create a sense of obligation towards the client,
- impair professional objectivity,
- influence future professional judgement,
- create the appearance that independence has been compromised.

Even if the consultants remain objective, third parties may perceive that their independence has been affected.

(ii) Seven Star

Threat: Familiarity Threat

Mr. Rashed has been engagement partner for **11 years**.

Because of the long association:

- he has become very familiar with management,
- personal relationships may develop,
- professional scepticism may decline,
- he may become less willing to challenge management.

This threatens independence and objectivity.

(iii) Maple Leaf Ltd.

Threat: Confidentiality and Familiarity (Self-interest) Threat

Mr. Munir's daughter has joined Maple Leaf's principal competitor.

There is a risk that:

- confidential information obtained from Maple Leaf could be unintentionally disclosed,
- Mr. Munir may consciously or unconsciously favour one party,
- users may question his independence because of his family connection.

The relationship creates a potential conflict of interest.

(b) Safeguards to reduce or eliminate the threats (5 Marks)

(i) Russel Ltd.

Safeguards

- Politely decline the invitation if it is excessive.
- Accept only modest hospitality that is reasonable in the circumstances.
- Follow the firm's policy on gifts and hospitality.
- Obtain approval from the ethics partner before accepting.
- Record the hospitality in the firm's gift register.

These safeguards help maintain both actual and perceived independence.

(ii) Seven Star

Safeguards

- Rotate the engagement partner.
- Conduct an independent engagement quality review.
- Introduce new senior members to the engagement team.
- Increase supervision by another partner.
- Follow mandatory partner rotation requirements where applicable.

These measures restore professional scepticism and reduce familiarity.

(iii) Maple Leaf Ltd.

Safeguards

- Inform the firm's ethics partner immediately.
- Evaluate whether the family relationship creates a significant conflict.
- Restrict Mr. Munir's access to highly confidential information where appropriate.
- Require strict compliance with confidentiality policies.
- If the threat cannot be reduced to an acceptable level, remove Mr. Munir from the engagement.

These safeguards protect client confidentiality and preserve independence.

Answer to Question 3 (a)

(a) Advice to BMK using Porter's Generic Strategies (12 Marks)

Porter's Generic Strategies suggest that a business can achieve competitive advantage through **Cost Leadership, Differentiation or Focus**. Businesses that fail to adopt a clear strategy risk becoming **"stuck in the middle"**, leading to poor performance.

BMK currently operates restaurants with very different menus, pricing and customer segments. This indicates that the chain lacks a consistent competitive strategy.

1. Cost Leadership

A cost leadership strategy aims to offer products at the lowest cost through operational efficiency.

BMK could improve profitability by:

- centralising purchasing to obtain volume discounts,
- reducing food waste,
- standardising some ingredients and administrative functions,
- improving labour efficiency.

However, this strategy is more suitable for the fast-food restaurant than for premium restaurants.

2. Differentiation

Differentiation involves offering unique products or experiences that justify premium prices.

Several BMK restaurants already have distinctive identities, such as:

- the floating seafood restaurant,
- the steakhouse,
- the historic country house restaurant,
- the adults-only restaurant.

BMK should strengthen these unique concepts rather than compete mainly on price.

3. Focus Strategy

A focus strategy targets a specific customer segment.

BMK already serves different niche markets, including:

- commuters,
- tourists,
- families with children,
- fine-dining customers.

Each restaurant should concentrate on its target market instead of trying to appeal to everyone.

Avoid Being "Stuck in the Middle"

The current mix of luxury, budget and mid-market restaurants suggests no clear overall strategy. BMK should review each restaurant individually and decide whether it should compete on **low cost, differentiation or a focused niche**, ensuring that each has a clear market position.

Conclusion

Porter's model can help BMK improve profitability by giving each restaurant a clear competitive strategy. Cost efficiencies should be achieved through central purchasing and better operations, while restaurants with unique

concepts should pursue differentiation or focus strategies. This will enable BMK to respond more effectively to falling tourism, rising costs and increasing competition.

Answer to Question 3 (b)

(b) Evaluation of Four Market Entry Strategies for DD (10 Marks)

To achieve its objective of becoming a multinational company, DD can consider the following market entry strategies:

1. Exporting

DD can manufacture its products in its home country and export them to overseas markets.

Advantages

- Low investment and risk.
- Maintains control over product quality and patented technology.
- Suitable for testing new markets before making larger investments.

Disadvantages

- High transport costs and import tariffs.
- Less knowledge of local customer requirements.
- Slower response to customer needs.

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2. Licensing

DD could license a local company to manufacture and sell its products in return for royalty income.

Advantages

- Low capital investment.
- Rapid entry into foreign markets.
- Local partner understands local laws and culture.

Disadvantages

- Risk of losing proprietary technology despite patent protection.
- Reduced control over product quality.
- Creates potential future competitors.

Since DD's products rely on sophisticated technology, licensing carries significant risks.

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3. Joint Venture / Strategic Alliance

DD could form a joint venture with a local company.

Advantages

- Shares investment costs and risks.
- Local partner provides market knowledge, customer contacts and regulatory expertise.
- Particularly useful where government procurement procedures are complex.

Disadvantages

- Shared control and profits.
- Possible conflicts between partners.
- Risk of technology leakage.

This is an attractive option because police equipment markets often require strong local relationships.

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4. Wholly Owned Subsidiary (Foreign Direct Investment)

DD could establish or acquire its own manufacturing or sales subsidiary overseas.

Advantages

- Full control over operations, technology and quality.
- Protects intellectual property.
- Retains all profits.
- Supports DD's long-term objective of becoming a multinational company.

Disadvantages

- Highest investment and risk.
- Exposure to political, economic and legal uncertainties.
- Longer time to establish operations.

Conclusion

For initial expansion, **exporting or a joint venture** would be the most appropriate strategies. Exporting allows DD to test foreign markets with limited risk, while a joint venture provides local knowledge and access to government customers. As sales increase and markets become established, DD can consider setting up wholly owned subsidiaries to achieve greater control and support its long-term international growth strategy.

Answer to Question 4

4 (a)(i) ESG Challenges in the Fast Fashion Industry (5 Marks)

Environmental

- High carbon emissions from production and transport.
- Heavy use of synthetic materials and natural resources.
- Pollution and textile waste due to overproduction.

Social

- Labour exploitation and unsafe working conditions.
- Poor chemical and product safety.
- Human rights issues in supply chains.

Governance

- Weak ESG disclosure and transparency.
- Copyright and intellectual property issues.
- Weak supply chain oversight and accountability.

(a)(ii) Specific ESG Challenges Faced by Shapla (5 Marks)

Environmental

- Difficulty measuring product carbon footprint.
- Dependence on synthetic fibres.
- Waste from ultra-fast fashion.
- Weak raw material traceability.

Social

- Labour exploitation allegations.
- Poor supplier labour practices.
- Cultural insensitivity in products.

Governance

- Copyright infringement lawsuits.
- Limited ESG disclosures.
- Declining investor confidence reflected in lower valuation.

(b) Industry-wide Efforts to Address ESG Challenges (5 Marks)

The fast fashion industry has responded by:

- Promoting recycling, resale, rental and repair.
- Increasing use of sustainable materials.
- Publishing ESG reports.

- Using blockchain for supply chain traceability.
- Improving worker welfare through digital technologies.
- Investing in renewable energy and carbon reduction.

(c) Measures Taken by Shapla (5 Marks)

Environmental

- Carbon footprint assessment with Intertek.
- Cotton traceability programme.
- Renewable energy partnership.

Social

- Supplier empowerment programme.
- Anonymous employee feedback system.
- Strong chemical safety standards.

Governance

- Appointed Global Head of ESG.
- Improved ESG reporting and transparency.
- Zero-tolerance policy on copyright infringement with AI image recognition.

(d) Further Strategies for IPO Readiness (5 Marks)

- Increase use of recycled and sustainable materials.
- Set measurable ESG targets and obtain independent ESG assurance.
- Strengthen board independence and ESG governance.
- Expand blockchain and AI to improve traceability and reduce overproduction.
- Conduct regular supplier audits and improve labour standards.
- Enhance investor communication through transparent ESG reporting.

Conclusion

Shapla has made significant progress in addressing ESG risks. By further strengthening sustainability, governance and digital innovation, it can improve investor confidence, support a successful IPO and establish itself as a leading sustainable fast fashion brand.

Answer to Question 5

(a) Breakeven point

	Price-1	Price-2
Sales price	200	160
Variable costs		
Labour	72	72
Material	80	68
Contribution per unit	48	20

Other cost		
Fixed cost		
Machinery depreciation	900000	900000
Advertising	350,000	350,000
Factory rent	944000	944000
Total	2194000/48	2194000/20
Break even	45708 units	109700 units

(b) Significance of Breakeven calculation:

- Benefit of bulk discount on higher sales volume out weighted by greater contribution at higher price of BDT 200 the safety margin is far higher than at 160.
- If the company adopts a low-price strategy, then extra marketing may be required to obtain new significantly higher sales volume required. This would further increase the advertising spending., if lower volumes were produced, excess factory capacity could be used to produced other goods.

(c) Merits of appointing more non-executives:

- Improves the perception of independence between the board and the shareholders.
- Removes the ability of directors to their own pay and create an efficient executive remuneration scheme.
- Acts as a buffer between the auditors and the board.
- Brings experience to the board from other posts held by these non-executives.
- Reduce the ability of a Chief Executive to dominate the board of directors.
- Assists appointment of new directors on a merit basis.
- Can also act as a voice piece for the interests of the shareholders.

Merits of less authoritarian role and improving board effectiveness

- Robin is reluctant to delegate any element of decision making and decisions are imposed.
- Other directors are demotivated by the threat of the sack. They may be choosing not to give their opinions as a result and decision may made by Robin without all the knowledge held by individual directors.
- Robin is likely to lack the time and knowledge to make all decisions effectively.
- By taking a less authoritarian role, Robin could create a more participative environment and encourage discussion of issues This is likely to lead to better decisions.
- Such an environment would encourage open discussion meeting, by removing fear of dismissal for disagreement with Barbara' views.
- He should encourage consensus decision making rather than the use of votes of individual members of the board.
- Institutional investors would welcome more openness and are likely to be reassured by the move increased delegation/ participation is likely to free up. Robin's time to concentrate on the strategic direction of the business and the relationships with key stakeholders.

Answer to Question 6

6 (a) Impact of the Internet on Western edTech Ltd.'s Competitive Forces (6 Marks)

Using **Porter's Five Forces**, the internet has significantly changed the competitive environment.

1. Increased Competition

Online learning platforms allow institutions to compete nationally and internationally. Western edTech faces greater competition from low-cost online providers.

2. Greater Buyer Power

Students can easily compare courses, fees and reviews online. The outdated "My Western edTech" portal weakens the company's attractiveness.

3. Threat of New Entrants

The internet reduces entry barriers as new providers can offer online courses without investing in physical training centres.

4. Threat of Substitutes

Students can choose alternatives such as MOOCs, online universities and professional certification platforms instead of classroom-based courses.

5. Supplier Power

Teaching staff can work remotely for multiple providers, increasing their bargaining power. However, cloud technology also enables Western edTech to recruit tutors from a wider market.

Conclusion: The internet has intensified competition and increased the need for digital services and student engagement.

(b) Cloud Computing as a Source of Competitive Advantage (4 Marks)

Cloud computing could help Western edTech by:

- integrating finance, payroll and student systems into one platform.
- improving the "My Western edTech" portal with online registration, fee payment and progress tracking.
- reducing IT infrastructure costs through scalable, pay-as-you-use services.
- supporting future growth from 3,000 to 6,000 language students.
- enabling online learning and remote access for students and tutors.
- improving management information for decision-making.

Limitation: Cloud computing alone is not a competitive advantage. Success depends on how effectively Western edTech uses the technology to improve student experience and operational efficiency.

(c) Choosing Between a Public and Private Cloud (2 Marks)

Western edTech should consider:

- **Data security and privacy** of student and financial information.
- **Scalability**, as student numbers are expected to grow significantly.
- **Cost**, since public cloud is generally cheaper.
- **Integration** of finance, payroll and student management systems.
- **Reliability and system availability** for online learning services.
- **Compliance** with data protection regulations.

A **hybrid approach** may be most appropriate: use a **private cloud** for sensitive student and financial data and a **public cloud** for online learning resources and student access.

System reliability and uptime are also important, as students require constant access to learning materials. If downtime occurs, it could damage Western edTech Ltd.'s reputation. Private cloud solutions may offer more guaranteed performance, although reputable public providers also offer high reliability.

In addition, Western edTech Ltd.'s existing systems such as My Western edTech Ltd. may require integration. A private cloud could allow more customised infrastructure, while public cloud systems may require adaptation.

Overall, while a public cloud is more cost-effective and flexible, concerns around data security and system control may make a hybrid approach more appropriate for Western edTech Ltd.

---The End---